

SUCCESSFUL FORECAST

In subsequent discussions there will be no difficulty in showing, from the various studies in the price movement since 1902, standing for record in the columns of *The Wall Street Journal*, that the method for a forecast of the main market movement and for a correct discrimination between that and the secondary movement had been provided in Dow's theory, and that it has been used with surprising accuracy. A prophet, especially in Wall Street, takes his life in his hands. If his predictions are always of the rosiest whatever the facts of the situation may be, he will at worst be merely called a fool for his pains. The charge against him will be far more serious if he sees that a boom has overrun itself, and says so. If he is bearish and right he will be accused of unworthy motives. He will even be held contributory to the decline which he foresaw, although his motives may have been of the highest and he may have not a penny of interest in the market either way.

"RECALLING" A PROPHET

Is the American public so ungrateful to its Micaiahs and Casandras as this? Yes, indeed, and more so. It does not like unpleasant truths. In 1912, when Colonel C. McD. Townsend of the United States Engineers, an army man with a brilliant record then and since, was president of the Mississippi River Commission, he predicted, from the height of the water in the upper rivers, one of the greatest Mississippi floods. He warned the city of New Orleans that the flood might be expected in a month's time, recommending the most vigorous and immediate steps to lessen the calamity. Was New Orleans grateful? Its citizens held an indignation meeting to demand from President Taft the recall of this "calamity